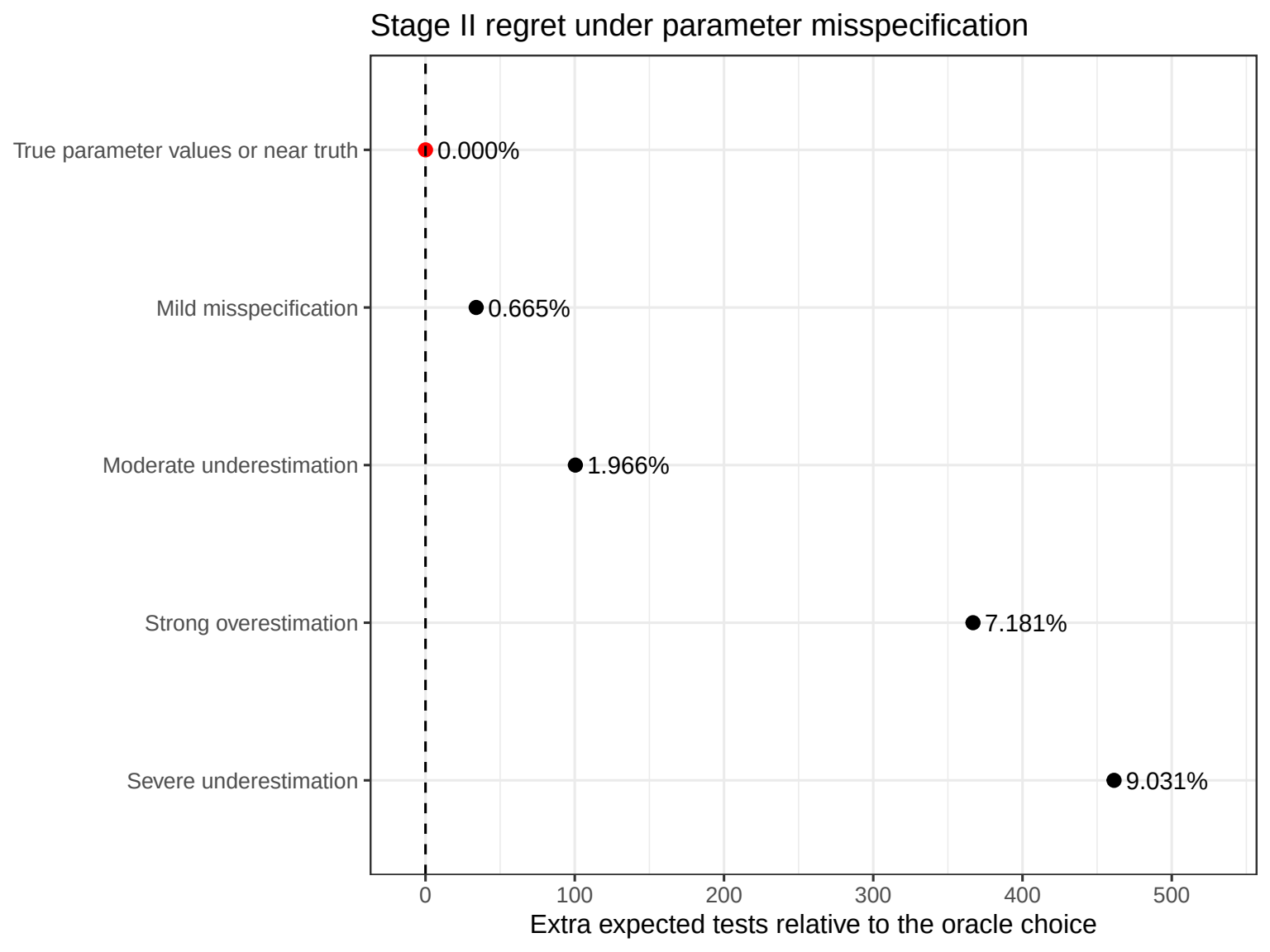
Stage II regret under parameter misspecification
True parameter values or near truth
Mild misspecification
Moderate underestimation
Strong overestimation
Severe underestimation
0.000%
0.665%
1.966%
7.181%
9.031%
0
100
200
300
400
500
Extra expected tests relative to the oracle choice